

**NORTHWIND COMMUNITY BANK**

Member FDIC | Equal Housing Lender

# Employee Handbook

## & Human Resources Policy Manual

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Approved by: Board of Directors, Compensation & HR Committee (December 9, 2025)

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# 1. Welcome and Purpose of This Handbook

Policy ID: HR-100 | Policy Owner: Human Resources | Last Reviewed: December 2025

Welcome to Northwind Community Bank ("Northwind" or "the Bank"). Founded in 1952 in Asheboro, North Carolina, Northwind has grown to 38 branches across North Carolina, South Carolina and Virginia, with approximately 1,150 employees and \$4.8 billion in total assets. Our mission is to *strengthen the communities we serve through trusted relationships, sound banking and local decision-making*.

This handbook summarizes the policies, benefits and expectations that apply to all employees. It replaces all previous versions, including Version 4.1 dated July 1, 2024. Where a separate detailed procedure exists (for example, the BSA/AML Program Manual or the Information Security Standards), that document governs the operational details and this handbook provides the summary.

## Our Core Values

- **Integrity** - We do the right thing, especially when no one is watching.
- **Community** - We invest our time and resources where our customers live and work.
- **Stewardship** - We protect customer deposits, data and trust as if they were our own.
- **Respect** - We value every colleague, customer and viewpoint.
- **Accountability** - We own our results and learn from our mistakes.

## At-Will Employment

Employment with Northwind is at-will. Either the employee or the Bank may end the employment relationship at any time, with or without cause or notice, subject to applicable law. Nothing in this handbook creates a contract of employment. Only the Chief Executive Officer may enter into an employment agreement that alters at-will status, and any such agreement must be in writing and signed by the CEO.

## Policy Changes

The Bank may revise, supplement or rescind any policy at any time. Human Resources will announce material changes through the employee intranet ("The Compass") at least 30 days before they take effect, unless a change is required sooner by law or regulation. Questions about any policy should be directed to your manager or to HR Service Center at extension 4700 or [hr@northwindcb.example](mailto:hr@northwindcb.example).

## 2. Equal Employment Opportunity and Anti-Harassment

Policy ID: HR-110 | Policy Owner: HR & Legal | Last Reviewed: December 2025

Northwind is an equal opportunity employer. Employment decisions are based on qualifications, merit and business need. The Bank does not discriminate on the basis of race, color, religion, sex, pregnancy, sexual orientation, gender identity, national origin, age (40 and over), disability, genetic information, military or veteran status, or any other status protected by federal, state or local law.

### Reasonable Accommodation

Employees who need an accommodation for a disability, pregnancy-related condition or sincerely held religious belief should contact HR. The Bank will engage in an interactive process and respond to accommodation requests within 10 business days of receiving the necessary information.

### Prohibited Harassment

Harassment based on any protected characteristic is prohibited, whether by managers, co-workers, customers, vendors or visitors. Sexual harassment includes unwelcome advances, requests for sexual favors, and other verbal, visual or physical conduct of a sexual nature. Examples of prohibited conduct include:

- Slurs, jokes, or comments about a protected characteristic.
- Displaying or sending offensive images, messages or memes, including through Teams or personal phones.
- Unwanted touching, blocking movement, or invading personal space.
- Making employment decisions contingent on submission to sexual conduct.

### Reporting and Investigation

Employees may report concerns to their manager, any HR Business Partner, the Chief Human Resources Officer, or anonymously through the EthicsLine at 1-800-555-0142 (available 24/7). Managers who receive a report must notify HR within **one business day**. HR will begin an investigation within 3 business days and aims to complete most investigations within 30 calendar days.

Retaliation against anyone who reports in good faith or participates in an investigation is strictly prohibited and is grounds for termination.

### Required Training

All employees must complete Respectful Workplace training within 30 days of hire and annually by October 31. People managers complete an additional 2-hour Manager Responsibilities module every two years.

### 3. Employment Classifications and Hiring

Policy ID: HR-120 | Policy Owner: Human Resources | Last Reviewed: December 2025

Each position is assigned an employment classification that determines eligibility for overtime and benefits.

| Classification       | Definition                                             | Benefits Eligibility                           |
|----------------------|--------------------------------------------------------|------------------------------------------------|
| Full-Time            | Regularly scheduled 30 or more hours per week          | Full benefits; PTO accrues at 100% of schedule |
| Part-Time Benefited  | Regularly scheduled 20 to 29 hours per week            | Medical, dental, 401(k); prorated PTO          |
| Part-Time            | Regularly scheduled fewer than 20 hours per week       | 401(k) after eligibility; paid sick leave only |
| Temporary / Seasonal | Hired for a defined period, typically under 6 months   | Statutory benefits only                        |
| Intern               | Students in the Summer Associate Program (10-12 weeks) | Paid hourly; no PTO accrual                    |

#### Exempt and Non-Exempt Status

Non-exempt employees (for example, Universal Bankers, Tellers, Loan Processors and Call Center Associates) are paid for all hours worked and receive overtime at 1.5 times their regular rate for hours over 40 in a workweek. The workweek runs from 12:00 a.m. Sunday to 11:59 p.m. Saturday. Exempt employees are salaried and not eligible for overtime.

#### Introductory Period

New and rehired employees complete a **90-day introductory period**. Managers hold check-ins at 30, 60 and 90 days. The introductory period may be extended once by up to 60 days with HR approval. Benefits eligibility is not affected by the introductory period.

#### Background Screening

Because Northwind is an FDIC-insured institution, Section 19 of the Federal Deposit Insurance Act prohibits the Bank from employing anyone convicted of certain crimes involving dishonesty, breach of trust or money laundering without FDIC consent. All offers are contingent on a satisfactory criminal background check, fingerprinting, credit review (for roles with cash or lending authority), employment verification and, where applicable, SAFE Act / NMLS registration for mortgage loan originators.

#### Employment of Relatives

Relatives and household members may not work in a direct or indirect reporting relationship, in the same branch, or in positions where one can review, approve or reconcile the other's transactions. Employees must disclose a relationship to HR within 10 business days if a covered situation arises.

#### Employee Referral Bonus

Employees who refer a hired candidate receive **\$500** for non-exempt roles and **\$1,500** for exempt roles, paid after the new hire completes 90 days of employment. Officers at the Senior Vice President level and above, and

HR recruiters, are not eligible.

## 4. Work Schedules, Remote Work and Attendance

Policy ID: HR-130 | Policy Owner: Human Resources | Last Reviewed: December 2025

Branch hours are generally 9:00 a.m. to 5:00 p.m. Monday through Thursday, 9:00 a.m. to 6:00 p.m. Friday, and 9:00 a.m. to 12:00 p.m. Saturday at select locations. Branch staff are scheduled by their Branch Manager at least two weeks in advance. Operations Center core hours are 9:30 a.m. to 3:30 p.m.

### Hybrid and Remote Work

Eligible corporate roles may follow a hybrid schedule. Customer-facing branch roles, vault and cash operations, and roles requiring physical access to secured areas are not eligible for remote work.

| Work Arrangement | In-Office Requirement                                            | Approval Needed                   |
|------------------|------------------------------------------------------------------|-----------------------------------|
| On-site          | 5 days per week                                                  | None                              |
| Hybrid           | Minimum 3 days per week; Tuesdays and Wednesdays are anchor days | Manager                           |
| Remote           | On-site as requested, at least quarterly                         | Manager, Department Head and CHRO |

Remote and hybrid employees must work from a private location within North Carolina, South Carolina or Virginia, use only Bank-issued equipment, connect through the Bank's VPN, and never print customer information at home. Working from outside the United States is prohibited, including for short periods, because of data residency and sanctions obligations. A \$50 monthly remote work stipend is paid to approved fully remote employees.

### Attendance and Tardiness

Employees who will be absent or more than 15 minutes late must notify their manager directly (not by email alone) at least one hour before their scheduled start time. Three consecutive scheduled workdays of absence without notification is considered job abandonment and a voluntary resignation.

### Meal and Rest Breaks

Non-exempt employees working more than 6 hours receive an unpaid 30- or 60-minute meal break and are relieved of all duties during it. Two paid 15-minute rest breaks are provided for shifts of 8 hours. Lactation breaks and a private, non-restroom space are provided as needed.

### Timekeeping

Non-exempt employees record time in Workday at the start and end of each shift and meal break. Working "off the clock" is prohibited, and managers may never ask an employee to do so. Falsifying a time record is grounds for termination. Timecards must be approved by managers by 10:00 a.m. each Monday.

## 5. Compensation and Payroll

Policy ID: HR-140 | Policy Owner: Total Rewards | Last Reviewed: December 2025

Northwind pays employees bi-weekly on Fridays via direct deposit, for 26 pay periods per year. If a payday falls on a federal holiday, pay is deposited the preceding business day. Pay statements and W-2 forms are available in Workday.

### Salary Structure

Each job is assigned a grade with a minimum, midpoint and maximum, reviewed annually against market survey data. The Bank's minimum starting rate for any role is **\$20.00 per hour**, effective January 1, 2026.

| Grade | Example Roles                               | Range Minimum | Midpoint  | Range Maximum |
|-------|---------------------------------------------|---------------|-----------|---------------|
| G3    | Teller, Call Center Associate I             | \$41,600      | \$47,800  | \$54,000      |
| G5    | Universal Banker II, Loan Processor         | \$48,500      | \$57,000  | \$65,500      |
| G7    | BSA Analyst, Data Analyst, Branch Manager I | \$68,000      | \$83,000  | \$98,000      |
| G9    | Senior Data Engineer, Commercial Lender     | \$105,000     | \$128,000 | \$151,000     |
| G11   | Director, Lead Engineer                     | \$140,000     | \$172,000 | \$204,000     |

### Merit Increases

Merit increases are effective the first full pay period of March and are based on the year-end performance rating and position in range. Employees hired on or after October 1 are not eligible for the following March merit cycle. The 2026 merit budget is 3.5% of eligible base pay.

### Incentive Plans

Employees in Grade G3 to G8 not on a sales incentive plan participate in the Community Shares Bonus, with a target of 4% of base pay, funded based on the Bank's return on assets and paid in March. Commission and incentive plans for lenders and wealth advisors are governed by separate plan documents and include clawback provisions in line with interagency guidance on sound incentive compensation.

### Shift Differential and Bilingual Pay

Non-exempt employees working hours between 6:00 p.m. and 6:00 a.m. receive a \$2.00 per hour shift differential. Employees certified as bilingual through the Bank's language assessment, and who use the language in their role, receive a \$1.25 per hour premium.

### Pay Errors

Report any pay error to Payroll at payroll@northwindcb.example. Underpayments of \$100 or more are corrected by off-cycle payment within 3 business days; smaller amounts are corrected on the next regular paycheck.

## 6. Paid Time Off and Holidays

Policy ID: HR-150 | Policy Owner: Human Resources | Last Reviewed: December 2025

Paid Time Off (PTO) combines vacation and personal time into a single bank. Full-time employees accrue PTO each pay period based on years of service, beginning on the first day of employment. Part-time benefited employees accrue on a prorated basis.

| Years of Service         | Annual PTO (Full-Time) | Accrual per Pay Period | Maximum Balance (Cap) |
|--------------------------|------------------------|------------------------|-----------------------|
| Less than 2 years        | 15 days (120 hours)    | 4.62 hours             | 180 hours             |
| 2 to less than 5 years   | 18 days (144 hours)    | 5.54 hours             | 216 hours             |
| 5 to less than 10 years  | 21 days (168 hours)    | 6.46 hours             | 252 hours             |
| 10 to less than 20 years | 24 days (192 hours)    | 7.38 hours             | 288 hours             |
| 20 or more years         | 27 days (216 hours)    | 8.31 hours             | 324 hours             |

Once a balance reaches the cap, accrual stops until PTO is used. Up to 40 hours of unused PTO may be carried over into the next calendar year; any excess above 40 hours is forfeited on December 31 unless the cap was reached due to a manager-denied request documented in Workday. PTO may be used in increments of one hour.

### Requesting PTO

Submit PTO requests in Workday at least 2 weeks in advance for absences of 3 days or more, and at least 2 business days in advance for shorter absences. Branch staff should avoid scheduling PTO during the last 2 business days of each month and the first week of January, which are peak periods. Requests are approved on a first-come basis.

### Mandatory Consecutive Leave (Block Leave)

As an internal control against fraud, employees in designated sensitive positions - including tellers, vault custodians, wire transfer operators, loan officers, BSA/AML investigators, and employees with privileged system access - must take **at least 5 consecutive business days** away from work each calendar year. During block leave, the employee may not access Bank systems, email or premises, and duties must be performed by someone else. Compliance tracks completion, and the requirement must be met by December 15.

### Payout at Separation

Accrued, unused PTO up to 80 hours is paid at separation for employees who give at least 2 weeks' notice and work through their notice period. PTO is not paid out for employees terminated for gross misconduct, where permitted by law.

### Paid Holidays

Northwind observes the following 11 paid holidays in 2026, aligned with the Federal Reserve holiday schedule:

| Holiday                    | 2026 Date Observed        |
|----------------------------|---------------------------|
| New Year's Day             | Thursday, January 1       |
| Martin Luther King Jr. Day | Monday, January 19        |
| Presidents' Day            | Monday, February 16       |
| Memorial Day               | Monday, May 25            |
| Juneteenth                 | Friday, June 19           |
| Independence Day           | Friday, July 3 (observed) |
| Labor Day                  | Monday, September 7       |
| Columbus Day               | Monday, October 12        |
| Veterans Day               | Wednesday, November 11    |
| Thanksgiving Day           | Thursday, November 26     |
| Christmas Day              | Friday, December 25       |

In addition, each employee receives one **Floating Holiday** per year (8 hours for full-time), which does not carry over. Non-exempt employees required to work on a holiday are paid 1.5 times their regular rate for hours worked plus holiday pay.

## 7. Leaves of Absence

Policy ID: HR-160 | Policy Owner: Human Resources | Last Reviewed: December 2025

### Sick Leave

In addition to PTO, all employees, including part-time and temporary staff, accrue paid sick leave at 1 hour for every 30 hours worked, up to 56 hours per year, with a maximum balance of 80 hours. Sick leave may be used for the employee's or a family member's illness, medical appointments, or needs related to domestic violence. A doctor's note may be requested only after 3 or more consecutive days of absence. Sick leave is not paid out at separation.

### Family and Medical Leave (FMLA)

Employees with at least 12 months of service and 1,250 hours worked in the prior 12 months are eligible for up to 12 weeks of job-protected leave in a rolling 12-month period, or up to 26 weeks for military caregiver leave. Group health benefits continue during FMLA leave. Employees must provide 30 days' notice when the need is foreseeable. FMLA runs concurrently with paid leave and short-term disability.

### Paid Parental Leave

After 6 months of service, employees receive **12 weeks of paid parental leave at 100% of base pay** following the birth, adoption or foster placement of a child, regardless of gender. The birthing parent may receive additional short-term disability benefits before parental leave begins. Parental leave must be taken within 12 months of the birth or placement, may be taken in up to two blocks of at least 2 weeks each, and runs concurrently with FMLA. Northwind also reimburses up to \$10,000 per child (lifetime maximum \$20,000) for qualified adoption expenses.

### Short-Term and Long-Term Disability

Short-term disability (STD) begins after a 7-calendar-day elimination period and pays 100% of base pay for weeks 1 through 6 and 66.67% for weeks 7 through 26. Long-term disability (LTD) begins after 180 days and pays 60% of base pay up to \$12,000 per month. Both are Bank-paid for full-time employees.

### Bereavement Leave

| Relationship                                    | Paid Bereavement Days |
|-------------------------------------------------|-----------------------|
| Spouse, domestic partner, child, stepchild      | 10 days               |
| Parent, stepparent, sibling, grandchild         | 5 days                |
| Grandparent, in-law, aunt, uncle, niece, nephew | 3 days                |
| Pregnancy loss (employee or partner)            | 5 days                |

### Other Leave

- **Jury duty:** full pay for up to 15 business days per year; employees must provide the summons to their manager.
- **Voting:** up to 2 hours of paid time if polls are not open for 2 hours outside the scheduled shift.

- **Military leave:** protected under USERRA; Northwind pays the difference between military and base pay for up to 30 days per year.
- **Volunteer time off (VTO):** 16 paid hours per calendar year for volunteering with an eligible nonprofit or school.
- **Personal leave of absence:** unpaid, up to 60 days, with manager and HR approval; available after 1 year of service.

8. Benefits

Policy ID: HR-170 | Policy Owner: Total Rewards | Last Reviewed: December 2025

Full-time and part-time benefited employees and their eligible dependents may enroll in benefits effective the **first of the month following date of hire**. Annual open enrollment runs November 1 through November 15 for coverage effective January 1. Outside open enrollment, changes are permitted only within 31 days of a qualifying life event.

Medical Plans

| Feature                                   | PPO Plan          | HDHP with HSA                        |
|-------------------------------------------|-------------------|--------------------------------------|
| Annual deductible (employee / family)     | \$750 / \$1,500   | \$2,000 / \$4,000                    |
| Out-of-pocket maximum (employee / family) | \$3,500 / \$7,000 | \$4,000 / \$8,000                    |
| Primary care visit                        | \$25 copay        | 20% after deductible                 |
| Bank premium share                        | 80%               | 85%                                  |
| Bank HSA contribution                     | Not applicable    | \$750 employee only / \$1,500 family |
| Bi-weekly employee cost (employee only)   | \$68.50           | \$41.25                              |

Employees who complete the annual wellness screening and an online health assessment by September 30 earn a \$600 annual premium credit. Dental (two plan options), vision, and dependent care FSA (\$7,500 household limit) are also available.

401(k) Retirement Savings Plan

Employees aged 18 or older are eligible on the first of the month after 30 days of service and are automatically enrolled at a 4% pre-tax contribution unless they opt out. Contributions may be pre-tax or Roth, subject to IRS limits.

Northwind matches **100% of the first 4%** of eligible pay contributed, plus **50% of the next 2%**, for a maximum match of 5%. The Bank may also make a discretionary profit-sharing contribution of up to 3% of eligible pay, approved by the Board each February. Employee contributions are always 100% vested. Matching and profit-sharing contributions vest on a graded schedule: 20% after 1 year, 40% after 2 years, 60% after 3 years, 80% after 4 years, and 100% after 5 years of service.

Life and Supplemental Insurance

The Bank provides basic life and AD&D insurance at 2 times annual base salary, up to \$750,000, at no cost. Employees may buy supplemental life coverage up to 5 times salary (maximum \$1,000,000) and spouse and child coverage.

Other Benefits

- **Tuition assistance:** up to \$5,250 per calendar year for accredited degree programs related to banking or the employee's career path, after 6 months of service. Employees who leave voluntarily within 12 months of reimbursement must repay 100%; within 24 months, 50%.

- **Professional certifications:** exam and study fees reimbursed for approved certifications such as CAMS, CRCM, CFE, CISSP, and AWS, Snowflake or Databricks certifications, up to \$2,000 per year.
- **Employee banking:** free checking, waived ATM fees nationwide, a 0.50% rate discount on consumer loans and a 0.25% discount on first mortgages, subject to standard underwriting and Regulation O for insiders.
- **Employee Assistance Program (EAP):** 8 free confidential counseling sessions per issue per year, plus legal and financial consultation, available 24/7 at 1-800-555-0199.
- **Commuter benefit:** pre-tax transit and parking up to IRS monthly limits.

## 9. Code of Conduct and Conflicts of Interest

Policy ID: HR-200 | Policy Owner: Chief Compliance Officer | Last Reviewed: December 2025

Every employee is expected to act with honesty and integrity. All employees certify annually, by January 31, that they have read and will comply with the Code of Conduct.

### Conflicts of Interest

A conflict of interest exists when personal interests interfere, or appear to interfere, with the interests of the Bank or its customers. Employees must disclose actual or potential conflicts in the Annual Conflict of Interest Questionnaire and whenever a new conflict arises. Employees may not:

- Process, approve or review any transaction on their own accounts, or accounts of relatives or close associates.
- Override fees, adjust rates, or reverse charges on accounts in which they have a personal interest.
- Act as executor, trustee or power of attorney for a customer who is not a relative, without Compliance approval.
- Borrow money from or lend money to customers or vendors, other than through normal banking channels.

### Gifts and Entertainment

Under the Bank Bribery Act, employees may not seek or accept anything of value in connection with Bank business. Gifts from customers or vendors valued at **\$100 or less** per source per calendar year may be accepted if given without intent to influence. Gifts above \$100 must be reported to Compliance within 5 business days and declined or surrendered. Cash, gift cards and cash equivalents may never be accepted, regardless of amount. Business meals are permitted when the host attends and the meal is reasonable in cost and frequency.

### Outside Employment and Board Service

Outside employment must be disclosed and approved by the employee's manager and HR before it begins. It must not compete with the Bank, involve financial advice or tax preparation for Bank customers, or use Bank time or resources. Service on the board of a for-profit company requires approval from the Chief Compliance Officer; nonprofit board service should be disclosed.

### Personal Investing and Insider Information

Employees may not trade securities while aware of material, non-public information obtained through their work, including information about commercial borrowers. Directors, executive officers and designated insiders may trade Northwind Bancorp stock only during open trading windows announced by the Corporate Secretary.

### Personal Finances

Employees are expected to manage their own accounts responsibly. Repeated overdrafts on an employee's own Northwind account (more than 3 in a rolling 90-day period) are referred to HR. Kiting checks or using float on employee accounts is prohibited and treated as fraud.

# 10. BSA/AML, Sanctions and Fraud Reporting

Policy ID: HR-210 | Policy Owner: BSA Officer | Last Reviewed: December 2025

Northwind is committed to preventing money laundering, terrorist financing and sanctions violations under the Bank Secrecy Act (BSA), the USA PATRIOT Act and regulations of the Office of Foreign Assets Control (OFAC). This section summarizes employee responsibilities; the BSA/AML Program Manual (CMP-300) governs.

## Training Requirements

| Audience                                         | Course                                             | Frequency / Deadline                        |
|--------------------------------------------------|----------------------------------------------------|---------------------------------------------|
| All employees                                    | BSA/AML and OFAC Fundamentals                      | Within 30 days of hire; annually by June 30 |
| Branch and operations staff                      | Recognizing Suspicious Activity and CTR Procedures | Annually by June 30                         |
| FCC, BSA and investigations staff                | Advanced AML Typologies (8 hours)                  | Annually by September 30                    |
| Board of Directors                               | Board BSA Oversight Briefing                       | Annually                                    |
| Data and technology staff supporting FCC systems | Transaction Monitoring Data Integrity              | Annually by September 30                    |

Employees who do not complete required training by the deadline will have system access suspended until the training is complete, and the delay is reflected in their performance review.

## Reporting Unusual Activity

Any employee who observes potentially suspicious activity must submit an Unusual Activity Referral (UAR) through the FCC Referral portal **within 24 hours** of detection. Do not investigate on your own and do not ask the customer about the activity beyond normal business questions.

## Confidentiality of SARs - No Tipping Off

Federal law prohibits disclosing that a Suspicious Activity Report (SAR) has been filed or is being considered. Employees may not tell a customer, or anyone outside the FCC function, about a SAR, a UAR, or a law enforcement inquiry. Violations can result in termination and personal civil and criminal penalties.

## Currency Transaction Reports and Structuring

Cash transactions exceeding \$10,000 in a business day by or on behalf of the same person require a Currency Transaction Report. Employees may never advise customers on how to avoid a CTR or assist with structuring transactions.

## Internal Fraud and Whistleblower Protection

Employees must report suspected embezzlement, theft, or misconduct by any employee to Corporate Security, the Chief Compliance Officer, or the EthicsLine. Good-faith reporters are protected from retaliation under Bank policy and federal whistleblower laws. Cash shortages or overages at a teller drawer of \$100 or more must be reported to the Branch Manager and Corporate Security the same day.

# 11. Information Security, Privacy and Acceptable Use

Policy ID: HR-220 | Policy Owner: Chief Information Security Officer | Last Reviewed: December 2025

Customer information is protected under the Gramm-Leach-Bliley Act (GLBA) and Bank policy. Employees may access customer data only when needed to perform assigned duties. "Browsing" accounts out of curiosity, including those of co-workers, family, celebrities or local public figures, is prohibited and is monitored.

## Data Classification

| Classification | Examples                                                       | Handling Requirements                                                                     |
|----------------|----------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| Restricted     | Card numbers (PAN), SSNs, passwords, SAR data, encryption keys | Encrypt at rest and in transit; never in email or chat; tokenize card data; access logged |
| Confidential   | Customer account data, loan files, employee records            | Need-to-know access; encrypted email for external transfer                                |
| Internal       | Policies, org charts, procedures                               | Not shared outside the Bank without approval                                              |
| Public         | Published rates, marketing materials                           | No restrictions                                                                           |

## Passwords and Access

Passwords must be at least 14 characters and are never shared, including with IT. Multi-factor authentication is required for all remote access and privileged accounts. Managers must request removal of access within **24 hours** of an employee's separation or transfer. Access is recertified by managers quarterly for privileged accounts and semi-annually for all others.

## Use of Generative AI Tools

Employees may use only Bank-approved generative AI tools listed on The Compass. Customer, employee or other Confidential or Restricted data may never be entered into public AI services. AI-generated content used in customer communications, credit decisions or regulatory reports must be reviewed by a qualified employee, and use of AI in models that affect customers must be reviewed by Model Risk Management.

## Email, Phishing and Devices

Report suspicious emails using the "Report Phish" button. Employees who fail three simulated phishing tests in a 12-month period must complete remedial training. Personal devices may access Bank email only through the approved mobile management app. USB storage devices are blocked on Bank computers. Lost or stolen devices must be reported to the IT Service Desk within 1 hour.

## Clean Desk and Records Retention

Confidential documents must be locked away when not in use and shredded in designated secure bins. Records are retained according to the Records Retention Schedule (for example, BSA records for 5 years and loan files for 7 years after payoff). Records subject to a legal hold may not be destroyed.

## Social Media

Only Marketing and authorized spokespeople may speak for the Bank on social media or to the press. Employees may not post customer information, discuss customers, or provide financial advice online. Media inquiries must be referred to Corporate Communications.

## 12. Performance Management and Career Development

Policy ID: HR-230 | Policy Owner: Human Resources | Last Reviewed: December 2025

Northwind uses an annual performance cycle aligned to the calendar year, with goal-setting by January 31, a mid-year check-in in July, and a year-end review completed by January 31 of the following year.

### Rating Scale

| Rating                | Description                                           | Typical Merit Guideline |
|-----------------------|-------------------------------------------------------|-------------------------|
| 5 - Exceptional       | Consistently exceeds all goals; role model for values | 5.0% to 7.0%            |
| 4 - Exceeds           | Frequently exceeds goals                              | 3.5% to 5.0%            |
| 3 - Achieves          | Fully meets goals and expectations                    | 2.5% to 3.5%            |
| 2 - Needs Improvement | Partially meets goals; development needed             | 0% to 1.5%              |
| 1 - Unsatisfactory    | Does not meet goals                                   | 0%                      |

Completion of required compliance training is a component of every employee's rating. An employee with an overdue required course at year-end cannot receive a rating above 3 - Achieves.

### Performance Improvement Plans

Employees rated 2 or lower, or with significant performance concerns, may be placed on a Performance Improvement Plan (PIP) of 30, 60 or 90 days. PIPs must be reviewed by HR before they are delivered.

### Internal Transfers and Promotions

Employees may apply for internal postings after 12 months in their current role, and must be in good standing (not on a PIP or final warning). Employees must notify their current manager when they apply. Internal postings are open to employees for 5 business days before external candidates are considered. Promotions typically carry an increase of 5% to 10% or to the new grade minimum, whichever is greater.

### Learning and Development

Each employee has a goal of 24 hours of learning per year beyond mandatory compliance training. Programs include the Emerging Leaders Program (12 months, nomination-based), the Commercial Credit Training Program, and the Northwind Data Academy for employees building data engineering and analytics skills.

### 13. Business Travel and Expense Reimbursement

Policy ID: HR-240 | Policy Owner: Finance | Last Reviewed: December 2025

Travel must be pre-approved by the employee's manager. Expenses are submitted in Concur within 30 days of being incurred with itemized receipts for any expense of \$25 or more. Expenses submitted after 90 days will not be reimbursed.

| Expense                  | Policy Limit                                                                                                             |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------|
| Air travel               | Economy class; book at least 14 days ahead when possible; business class only for flights over 6 hours with SVP approval |
| Hotel                    | Up to \$225 per night; up to \$325 per night in high-cost cities (New York, Washington DC, Boston, San Francisco)        |
| Meals (per diem)         | \$75 per day for overnight travel; breakfast \$15, lunch \$20, dinner \$40                                               |
| Personal vehicle mileage | IRS standard rate (72.5 cents per mile in 2026); excludes normal commute miles                                           |
| Rental car               | Mid-size or smaller; decline extra insurance (covered by Bank policy)                                                    |
| Alcohol                  | Not reimbursable, except at approved client entertainment events                                                         |
| Client entertainment     | Up to \$150 per person; must list attendees and business purpose                                                         |

Corporate cards are issued to employees who travel more than 4 times per year. Corporate cards may never be used for personal expenses; any personal charge must be repaid within 5 business days and is reported to the manager. Managers may not approve their own expenses, and expenses for EVPs and above are approved by the CFO.

## 14. Workplace Safety and Security

Policy ID: HR-250 | Policy Owner: Corporate Security | Last Reviewed: December 2025

### Robbery Procedures

In a robbery, employee and customer safety comes first. Comply with the robber's demands, do not resist, and activate the silent alarm only when it is safe to do so. After the robber leaves, lock the doors, call 911 and Corporate Security at 1-800-555-0177, and preserve the scene. All branch staff complete robbery-response training at hire and annually. Post-incident counseling is available through the EAP.

### Opening and Closing Procedures

Branches use dual control: at least two employees must be present to open and close, and to access the vault. The first employee in performs an exterior walkaround and signals "all clear" before the second employee enters. No employee may be alone in a branch outside business hours.

### Workplace Violence and Weapons

Threats, intimidation and violence are prohibited. Weapons are not permitted on Bank premises, except for authorized security personnel and as required by law for firearms locked in a personal vehicle.

### Drug- and Alcohol-Free Workplace

Employees may not work under the influence of alcohol, illegal drugs or misused prescription medication. Reasonable-suspicion testing may be conducted with HR approval.

### Workplace Injuries

Report any work-related injury to your manager and HR within 24 hours, even if minor, so a workers' compensation claim can be filed.

### Inclement Weather

Branch openings and closures are announced by 6:00 a.m. through the Northwind Alert text system and The Compass. When the Bank closes a location, scheduled employees are paid for the closure hours. Employees who choose not to report when their location is open must use PTO.

# 15. Corrective Action and Separation from Employment

Policy ID: HR-260 | Policy Owner: Human Resources | Last Reviewed: December 2025

Northwind generally uses progressive corrective action, but the Bank may skip any step, or terminate immediately, depending on the seriousness of the conduct.

| Step | Action                    | Active Period |
|------|---------------------------|---------------|
| 1    | Documented verbal warning | 6 months      |
| 2    | Written warning           | 9 months      |
| 3    | Final written warning     | 12 months     |
| 4    | Termination of employment | -             |

Conduct that typically results in immediate termination includes theft, fraud, embezzlement, falsifying Bank or customer records, unauthorized disclosure of a SAR, harassment or violence, unauthorized access to customer data, and any conduct that makes the employee ineligible under Section 19 of the FDI Act. Employees on an active written or final warning are not eligible for merit increases, bonus or internal transfers.

## Resignation

Non-officer employees are asked to give at least 2 weeks' written notice; officers (AVP and above) are asked to give 4 weeks. The Bank may accept a resignation effective immediately, in which case it will pay the employee through the notice period, up to 2 weeks.

## Severance

Employees whose positions are eliminated due to restructuring, branch closure or reduction in force may be eligible for severance of 2 weeks of base pay per year of service (minimum 4 weeks, maximum 26 weeks), subject to signing a separation agreement and release. Severance is not paid for resignation or termination for cause.

## Final Pay and Return of Property

Final pay is issued on the next regular payday. Employees must return all Bank property, including badges, keys, laptops, tokens and corporate cards, on or before their last day. System access is disabled at the end of the last scheduled shift. Medical coverage continues through the end of the month of separation, with COBRA available after.

## Rehire Eligibility

Former employees who left in good standing are eligible for rehire. Employees rehired within 12 months have prior service restored for PTO accrual and 401(k) vesting.

## Appendix A. Key Contacts

| Department / Resource       | Contact                                 | Hours                        |
|-----------------------------|-----------------------------------------|------------------------------|
| HR Service Center           | Ext. 4700   hr@northwindcb.example      | Mon-Fri, 8:00 a.m.-6:00 p.m. |
| Payroll                     | Ext. 4720   payroll@northwindcb.example | Mon-Fri, 8:00 a.m.-5:00 p.m. |
| Benefits Center             | 1-800-555-0110                          | Mon-Fri, 8:00 a.m.-8:00 p.m. |
| EthicsLine (anonymous)      | 1-800-555-0142                          | 24/7                         |
| Employee Assistance Program | 1-800-555-0199                          | 24/7                         |
| Corporate Security          | 1-800-555-0177                          | 24/7                         |
| IT Service Desk             | Ext. 4357 (HELP)                        | 24/7                         |
| BSA Officer / FCC Referrals | FCC Referral portal   Ext. 4850         | Mon-Fri, 8:00 a.m.-5:00 p.m. |

## Appendix B. Key Annual Deadlines

| Deadline      | Requirement                                                   | Section |
|---------------|---------------------------------------------------------------|---------|
| January 31    | Code of Conduct certification; year-end reviews and new goals | 9, 12   |
| June 30       | BSA/AML and OFAC Fundamentals training                        | 10      |
| September 30  | Wellness screening for premium credit; Advanced AML training  | 8, 10   |
| October 31    | Respectful Workplace training                                 | 2       |
| November 1-15 | Benefits open enrollment                                      | 8       |
| December 15   | Mandatory block leave completed                               | 6       |
| December 31   | PTO above 40 hours carry-over forfeited                       | 6       |

## Appendix C. Employee Acknowledgment

I acknowledge that I have received and read the Northwind Community Bank Employee Handbook and Human Resources Policy Manual (HR-POL-001, Version 4.2). I understand that it is my responsibility to comply with these policies and any revisions. I understand that my employment is at-will and that this handbook is not a contract. This acknowledgment is completed electronically in Workday within 10 business days of hire and when a new version is published.

Employee Name: \_\_\_\_\_ Employee ID: \_\_\_\_\_

Signature: \_\_\_\_\_ Date: \_\_\_\_\_